

SECP Circular No. 12 of 2025: Regulatory Framework for Central Depository Participants & Account Reconciliation

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1. Regulatory Mandate & Scope

In exercise of the powers conferred under Section 282B of the Companies Act, 2017 read with the Central Depositories Act, 1997, the Securities and Exchange Commission of Pakistan (SECP) hereby issues this Directive to all Central Depository Participants, Asset Management Companies (AMCs), and Custodians operating in Pakistan. This Circular establishes mandatory operational protocols for continuous electronic reconciliation, investor account protection, and compliance reporting.

2. Daily Electronic Reconciliation Mandate

All registered Depository Participants (DPs) maintaining sub-accounts within the Central Depository System (CDS) must perform daily automated end-of-day electronic reconciliation against their internal back-office accounting ledgers. Reconciliation reports must be generated within two (2) hours following the close of each trading day on the Pakistan Stock Exchange (PSX). Any unresolved discrepancy between physical certificate records, CDS balances, and back-office accounts exceeding twenty-four (24) hours must be reported immediately in writing to both the CDC Compliance Directorate and the SECP Securities Market Division.

3. Investor Asset Segregation & Custodial Safeguards

Participant proprietary holdings must at all times remain strictly segregated from client/investor sub-account holdings. No Depository Participant shall utilize client securities for margin financing, proprietary settlement obligations, or repo transactions without explicit, verified electronic consent obtained through the CDC Investor Account Services (IAS) portal. Any commingling of participant and client assets constitutes a grave breach of fiduciary duty punishable under Section 40A of the Central Depositories Act.

4. Mandatory Record Retention Policy

All transaction logs, client onboarding forms, Know Your Customer (KYC) verifications, CDS transfer authorizations, pledge requests, and daily reconciliation ledgers must be securely preserved for a minimum statutory period of ten (10) consecutive years. Digital records must be stored in encrypted, immutable archives with tamper-evident audit trails accessible upon forty-eight (48) hours notice during SECP or CDC inspection audits.

5. Penalties for Non-Compliance

Failure to comply with the daily reconciliation mandate or failure to report reconciliation variances shall attract a monetary penalty of up to PKR 5,000,000 per violation, along with immediate suspension of participant privileges in the Central Depository System.